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Study Notes

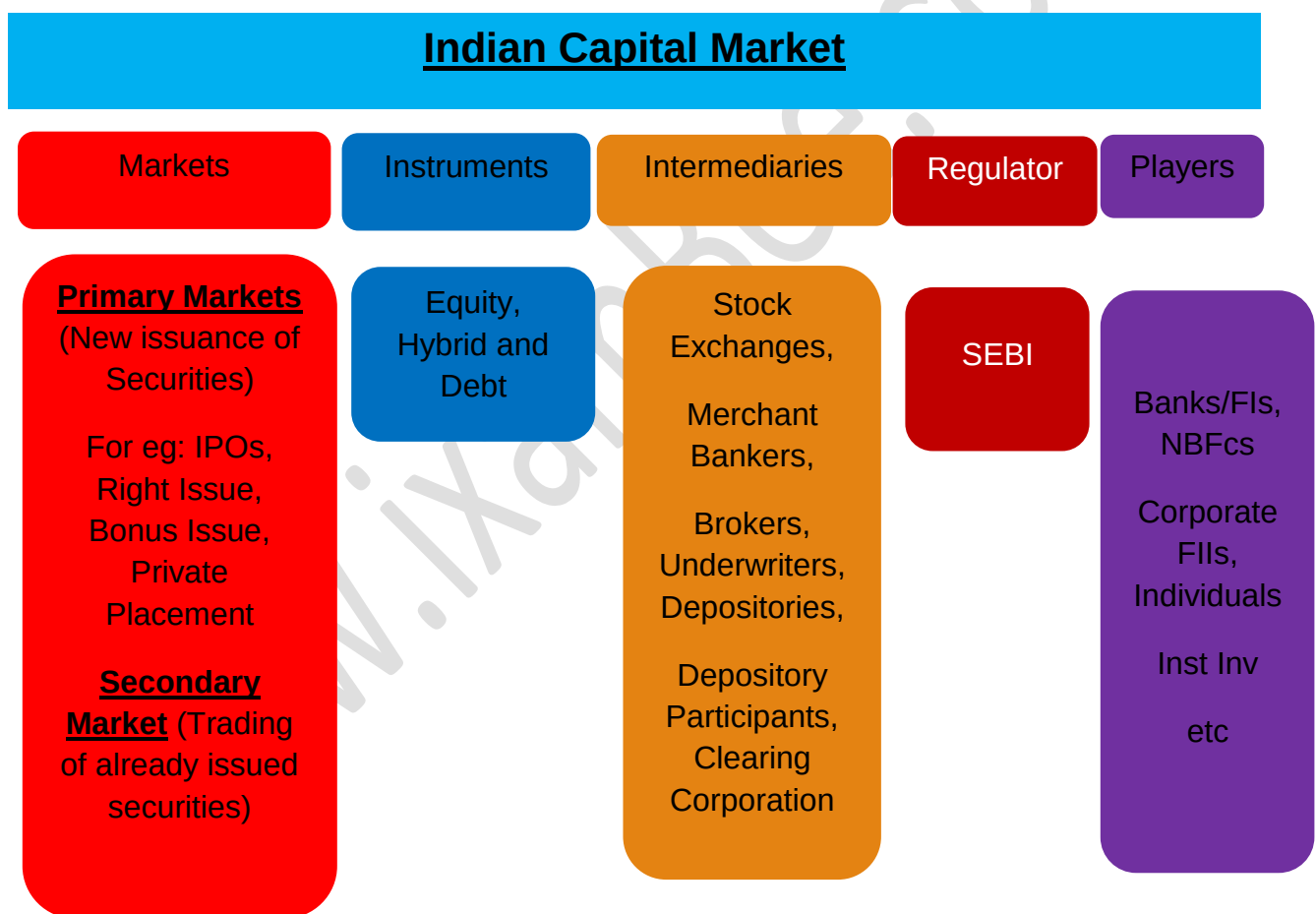
Capital Markets

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Structure of Capital Market in India

A Capital market is a part of the financial market where buying and selling of long-term debt or equity take place. The main role of the capital market is to provide a platform where long-term funds are raised. This fundraising exercise through the capital market involves governments, banks, and corporates. **There are two segments of the Capital Market: Primary Market and Secondary Market.**

A primary market is a market where buying and selling of new securities are taken place for the first time. A secondary market is a market in which the purchase and sale of securities that are already issued to the public for the first time and listed on the stock exchange takes place



Capital Market Instruments

Financial instruments whose maturity is more than one year are traded in the capital market. Bonds and Stocks (shares) are mainly included in such instruments. Bonds have a longer maturity and shares have an indefinite maturity. The source of funding available in the Capital Market also helps in increasing capital formation in the country

1) Shares (Equity):

- Equity shares are instruments issued by companies to raise capital and it represents the title to the ownership of a company.
- An investor becomes an owner of a company by subscribing to and being allotted its equity capital (by applying in IPO/FPO) or by buying its shares from its existing owners (by trading on stock exchanges).
- As a shareholder, the investor bears the entrepreneurial risk of the business venture and is entitled to benefits of ownership like share a in the distributed profit (dividend), an increase in net worth, etc. The returns earned in equity depend upon the profits made by the company & its future growth. An investor may choose to sell shares on the stock exchange and make a profit through capital appreciation too.

Note – trading in Equity/shares/Stocks in the stock market refers to buying and holding of shares of a company on a stock market by investors in anticipation of income from dividends and capital gains, as the value of the stock/equity/share rises.

Some Important terms Related to Shares:

- ✓ **Shareholders** are individuals who buy/invest in shares/equity of a company and are the owners of the company. Shareholders usually have voting rights and can participate in the management of the company.
- ✓ **Authorised Shares** refer to the maximum shares a company can legally issue.
- ✓ **Issued Shares** refer to the number of shares issued to shareholders for application/subscription.
- ✓ **Subscribed shares** refer to that part of the issued shares to which shareholders have subscribed to
- ✓ **Paid-up shares** are those part of the subscribed shares for which the company has received money.

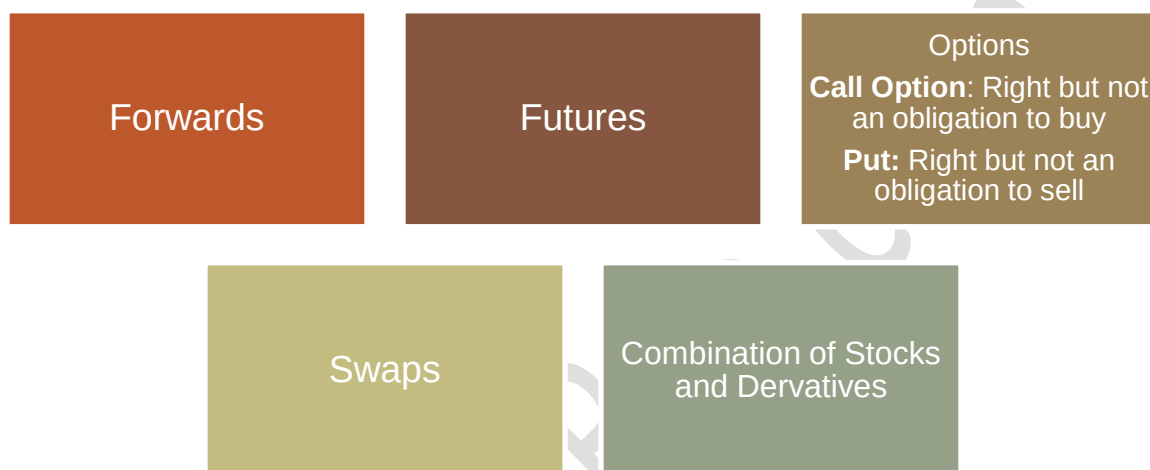
Note - Ideally the number and amount of issued, subscribed and paid-up shares should be the same as a company would want the issued shares to be subscribed to and paid for.

- ✓ **Face Value**, also known as the par value of the stock, is the base value of one share. The Face Value of share is generally Rs.10 or lower.
- ✓ **Market value or market price** of the share is the price at which it trades in the stock market.
- ✓ **Dividend** is a payment made by a company to its shareholders, usually as a distribution of profits. When a company earns a profit or surplus, it can either re-invest it in the business (called retained earnings), or it can distribute it to shareholders (called a dividend).
- ✓ **EPS (Earning per Share)** is the rupee value of earnings per outstanding share of a company's equity stock.
- ✓ $EPS = \text{Net Profits} / \text{No. Of Outstanding Shares of company}$

- ✓ **P/E Ratio or price-to-earnings ratio**, is an equity valuation multiple. It is defined as market price per share divided by annual earnings per share (PE Ratio = Market price/EPS).
 - ✓ **Market Capitalization or Market Cap** is the total market value of the company.
Market Cap = No. of outstanding shares × Market price of share
- 2) **Preference Shares**: These shares form part of the share capital of the company and carry a preferential right to be paid in case a company goes bankrupt or is liquidated. Preference shareholders have got very negligible voting rights. But they do have a higher claim on the assets and earnings of the company.
- 3) **Bonds and Debentures**:
- **Debenture** is a debt instrument indicating a debt obligation of a company with or without creating a charge on the assets of the company. It is issued by a company as a certificate of indebtedness and specifies the date of redemption, terms for repayment of principal, and payment of interest at a specified date(s).
 - **Bonds** are broadly similar to debentures, being debt instruments having a maturity repayment and interest payment obligations.
 - In India, a debenture is usually used to indicate a corporate debt instrument while bonds are used to denote debt instrument issued by financial institutions, municipalities or government companies.
 - **Zero Coupon Bonds**: A zero coupon bond does not pay any coupons during the term of the bond. The bond is issued at a discount to the face value, and redeemed at face value. The effective interest earned is the difference between the face value and the discounted issue price. A zero-coupon bond with a long maturity is issued at a very big discount to the face value. Such bonds are also known as deep discount bonds.
 - **Floating Rate Bonds**: Floating rate bonds are instruments where the interest rate is not fixed but re-set periodically with reference to a pre-decided benchmark rate.
- For instance, a company can issue a 5-year floating rate bond, with the rates being reset semi-annually at 50 basis points above the 1-year yield on central government securities. Every six months, the 1-year benchmark rate on government securities is ascertained from the prevailing market prices. The coupon rates the company would pay for the next six months is calculated as this benchmark rate plus 50 basis points. Floating rate bonds are also known as variable rate bonds or adjustable-rate bonds.*
- 4) **Derivatives**: These are instruments that derive their value from another underlying asset. The value of physical assets (like commodities) and financial assets (like shares) keeps fluctuating. So, it is difficult to fix a particular price. Derivatives instruments come handy here.

These are instruments that help trade in the future at a price that is fixed today thereby hedging the risk from future price movement. Simply put, one enters into an agreement to either buy or sell an asset at a certain fixed price in the future. **Derivatives are available for Index, Commodities, Shares (Stocks), Currencies, Interest Rates**

Broad Categories of Derivatives are as follows:



Only Futures and Options trade on the Stock Exchange. Forward Contracts and Swap Agreements are Over-the-Counter deals.

- ✓ **Futures** is a contract between two parties to buy or sell an underlying asset of standardized quantity and quality for a price agreed upon today with delivery and payment occurring at a specified future date.
- ✓ **Options** are a form of derivatives, which gives holders the right, but not the obligation to buy or sell an underlying asset at a pre-determined price, somewhere in the future. When you take an option to buy an asset it is called a 'call' and when you obtain the right to sell an asset it is called a 'put'. **Spot price:** Price at which contract/instrument/security is traded at present moment. (current market price)
Strike price or exercise price is the price as per the option contract at which the right to buy/sell can be exercised by the holder of the option. By comparing both prices, a choice can be made to either exercise the option or let it expire.

- 5) **Depository Receipts:** A depository receipt is a financial instrument that allows investors to invest in the equity of foreign companies. These depository receipts can be traded on the stock exchange representing the underlying equity shares of the foreign companies. It helps companies raise capital from the international market; financial intermediaries

such as domestic custodian banks and overseas depository banks help the domestic company raise funds from foreign investors

Types of Depository Receipts:

- **American Depository Receipts (ADRs):** An ADR (American Depository Receipts) is a way of trading non-U.S. stocks on the U.S. exchange. Through ADRs, Indian companies who are willing to raise funds from the U.S. can do so by issuing shares on the American Stock exchange. The shares are held by a foreign branch of an international bank. The shares trade as domestic shares but are offered for sale globally through various bank branches. American Depository Receipts (ADRs) are meant to facilitate public issues and trading in the United States.

However, the issuance of ADR is governed by the rules and regulations as laid down by the regulator SEC (Securities and Exchange Commission). The Indian Companies will have to maintain accounts as per the American Standards.

ADRs facilitate share transfers. ADRs are negotiable and can be easily transferred among the investors like any other negotiable instrument. The transfer of ADRs automatically transfers the underlying share.

The dividends are paid to the holders of ADRs in U.S. dollars.

How ADRs are created:

- ✓ Indian companies cannot directly list their equity shares on the international stock exchange. Therefore, in order to overcome this problem, the companies give shares to an American bank.
- ✓ These banks will issue receipts to Indian companies in return of the stocks. These receipts are called depository receipts.
- ✓ The companies raise funds by providing those ADR receipts in the American share market. These ADRs are listed on the major stock exchanges of the US, like NASDAQ. They can also be sold Over-The-Counter (OTC).
- ✓ One ADR comprises a certain number of shares in an Indian company and these ADRs are quoted in US dollars. The investors of a foreign country can buy and sell shares directly and the investor is free to convert the ADR to receive the equivalent number of shares.

Types of ADRs:

- ✓ **Sponsored ADRs:** A sponsored ADR is created through a formal agreement between a company (let's say Indian Company Infosys) and an American bank. The company handles all the costs related to the issuing of the receipts in the American markets. And, the American bank handles all transactions

between the company and the American investors through depository receipts.

- ✓ **Un-sponsored ADRs:** These ADRs are created by American banks without any formal agreement between a company and an American Bank. However, since they don't involve the company's participation, they are usually traded over-the-counter or OTC. There are sub-categories of these ADRs: Type I, Type II, Type III. Type III is the most prominent one where there is permission to the companies to raise funds or float an IPO in the American markets.
- **Global Depository receipts (GDRs):** A GDR GDRs are similar to ADRs except that it is listed on an exchange outside the U.S. and facilitates the issuer to raise funds simultaneously in different markets i.e. it allows the foreign firms to trade on the exchange outside its home country. The shares are held by a foreign branch of an international bank. The shares trade as domestic shares but are offered for sale globally through various bank branches.

The issuer issuing the shares has to pay dividends to the depository in the domestic currency. The depository has to then convert the domestic currency into dollars for onward payment to receipt holders. GDR bear no risk of capital repayment.

American Depository Receipts (ADRs) are meant to facilitate public issues and trading in the United States.

Global Depository Receipts (GDRs) are issued and traded in the non-US markets.

Nature of difference	ADRs (American Depository Receipt)	GDRs (Global Depository Receipt)
Relevance	Foreign companies can trade in the US market	Foreign companies can trade in the non-US markets
Market	This is meant for the retail investors	This is mainly meant for the Institutional Investors
Disclosure Requirements	Disclosure Requirements are more stringent	Disclosure Requirements are comparatively less stringent.
Conversion to shares	ADRs can be converted to shares and back to ADRs	GDRs once converted to ADRs cannot be converted back to GDRs
Listing	Listing on NYSE (New York Stock Exchange or NASDAQ)	Mainly in London or Luxemburg Stock Exchange

- **Indian Depository Receipts (IDRs):** An IDR is a way for a foreign company to raise money in India.

In an IDR, foreign companies would issue shares, to an Indian Depository, which would in turn issue depository receipts (IDR) to investors in India.

The actual shares underlying the IDRs would be held by an Overseas Custodian, which shall authorize the Indian Depository to issue the IDRs.

Standard Chartered Bank in the Indian Capital Market is the first foreign company to come up with an IDR issue in 2010. In this case, Standard Chartered Bank, Mumbai was the domestic depository, and it appointed Bank of New York, Mellon as its overseas depository.

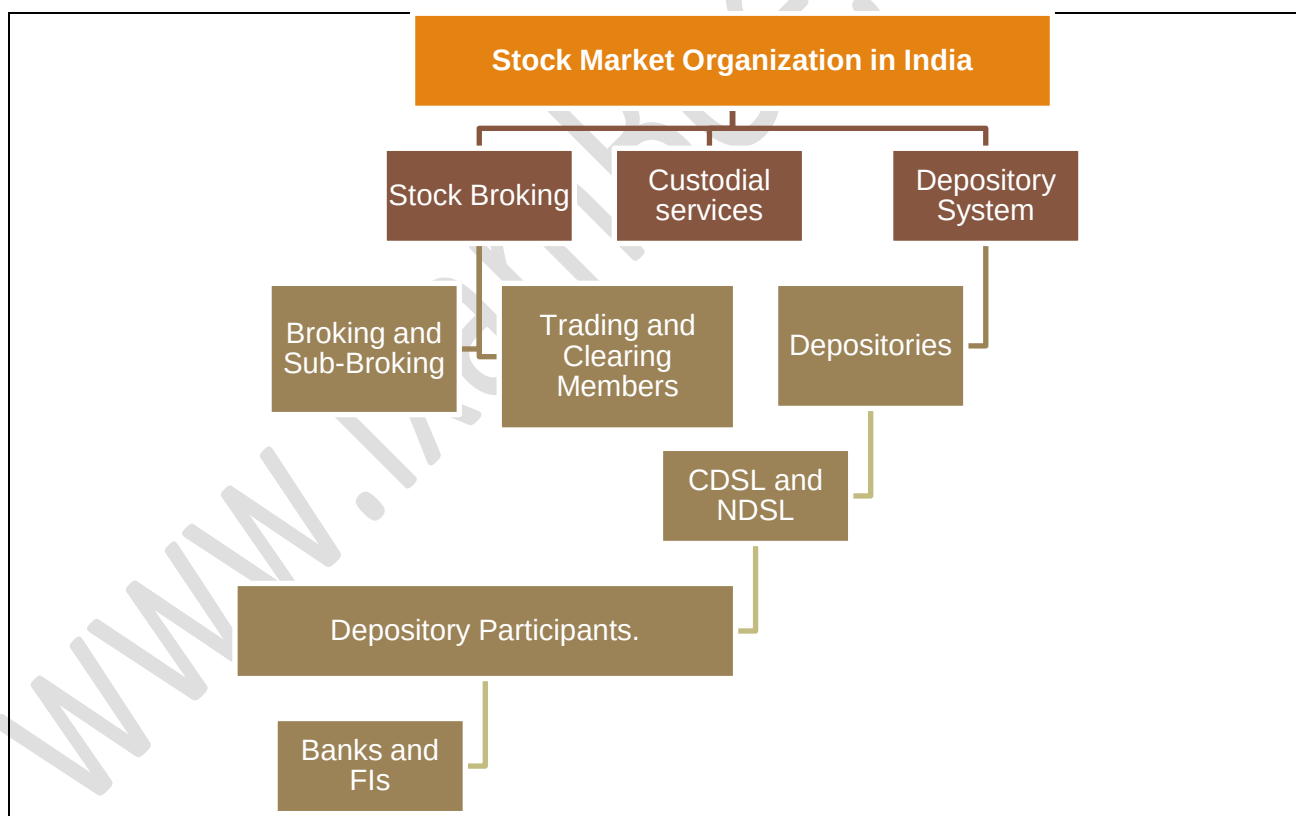
Capital Market Intermediaries

1) **Stock Markets:**

- Stock market is an arrangement where equity shares of companies are bought and sold by the participants. The participants can be investors and traders. The investors mainly have a long-term horizon in mind and benefit from capital appreciation over the given period. Traders, however, earn profits by tapping into small price changes in equity shares which mostly last for a few minutes to the whole trading session. In India, the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) are the major platforms where most of stock trading happens. Here, the buyers and sellers place orders through brokers who use online trading services. The settlement cycle follows the T+2 format. In this, the trades are executed on Day 1 and the participants receive their shares/sales proceeds after two working days from Day 1.
- **Important Terms related to Stock Exchange:**
 - ✓ **NIFTY** - The NIFTY 50 index is National Stock Exchange of India's benchmark stock market index for the Indian equity market. NIFTY consists of 50 stocks. It's scientifically developed based on 50 stocks and indicates the market movement.
 - ✓ **SENSEX**: The S&P BSE SENSEX (S&P Bombay Stock Exchange Sensitive Index), also-called the BSE 30 or simply the SENSEX, is a free-float market-weighted stock market index of 30 well-established and financially sound companies listed on Bombay Stock Exchange. SENSEX contains 30 stocks. It's scientifically developed based on 30 stocks and indicates the market movement.
 - ✓ **BSE's India INX** - India International Exchange (IFSC) Limited (India INX) is India's first international exchange in International Financial Services Centre (IFSC) located at the Gujarat International Finance-Tec City (GIFT City).
 - ✓ **India INX is a wholly owned subsidiary of BSE Limited.**

It launched a special purpose vehicle, India-INX Global Access IFSC to facilitate access to global exchange markets through a single centralized platform. Global Access will offer access to products traded on international exchanges. Global Access will provide its customers a single-window interface for trading on CME group exchanges, thereby decreasing their overall costs of accessing global markets from IFSC GIFT City.

- ✓ **Demat Account** - In India, shares and securities are held electronically in a Dematerialized account, instead of the investor taking physical possession of certificates. A Dematerialized account is opened by the investor while registering with a broker. Every shareholder will have a Dematerialized account for the purpose of transacting shares.
- ✓ **Dematerialization** of a security means converting it from physical form to electronic form.



- a) **Stock Broking:** Brokers are members of the stock exchange. They enter into share trading transactions either on their own account or on behalf of their clients. They have to get registration from SEBI before starting their operations and have to comply with the prescribed code of conduct. Some of the Examples are: Reliance Money, ICICI direct, Sharekhan etc

- ✓ every stock broker needs to appoint a compliance officer to monitor the compliance of the SEBI Act and its guidelines and also for redressal of

grievances of investors. The compliance officer should immediately report any non-compliance observed by him to the SEBI

- ✓ stock broker shall only deal with any person as a sub-broker only if he has obtained a certificate of registration from the SEBI
- ✓ a stock broker or a sub-broker who has violated any provisions of SEBI Act, rules and regulations are liable for penal actions.

b) **Depository System:** Before the depository system came into existence, the market suffered from various limitations including thefts and forgeries of share certificates. These drawbacks were acutely felt more so after the liberalization of the economy. To address all such issues the Central Government enacted the Depositories Act, 1996

- ✓ The Depositories Act provides that every person subscribing to securities offered by an issuer has the option to receive the security certificates or hold securities with a depository.
- ✓ investors should know that securities can be held as certificates but market dealing is possible if the securities are in the demat mode.
- ✓ holders of securities in demat mode (called beneficial owners) can create a pledge or hypothecation in respect of the securities held by them.

There are two depositories in India at present:

- ✓ **NSDL (National Securities depositories Ltd):** NSDL is the oldest and largest depository in India. It was established on 12th December 1995 and started its operations in 1996 in Mumbai. NSDL is promoted by Industrial Development Bank of India (IDBI), Unit Trust of India (UTI), and National Stock Exchange (NSE), etc. NSDL is a securities depository in India that holds the securities like shares, bonds, and debentures of investors in electronic format.
- ✓ **CDSL (Central Depository Services Ltd):** CDSL came into existence after NSDL in February 1999. CDSL was initially promoted by BSE Ltd. which has thereafter divested its stake to leading banks as “Sponsors” of CDSL. CDSL is promoted by the State Bank of India (SBI), Bank of India, Bank of Baroda, HDFC Bank, Standard Chartered Bank, Axis Bank and the Union Bank of India, etc

Depository Participant: Depository participant or a DP is an agent of the depositories which provides depository services to the investors.

Anyone who wants to register and work as a Depository Participant in India has to register with :

- A Depository under the Depository Act, 1996.
- SEBI under SEBI Act, 1992 (section-12) (Sub Section-1A)
- SEBI (Depositories and Participants) regulations, 1996

Who can become Depository Participant in India:

- Public Financial Institution

- Banks including Foreign Banks
 - State Financial Corporations
 - An Institution engaged in providing financial services promoted by above mentioned jointly and severally.
 - Custodian of Securities
 - Clearing Corporation or Clearing House of a Stock Exchange
 - Stock Broker who is granted Certificate of Registration under the SEBI Act, 1992.
 - Non-Banking Financial Company having a net worth of not less than Rs.50 lakh.
 - Registrar & Transfer Agents who have a minimum net worth of Rs.10 crore.
- c) **Clearing Houses:** The process of matching the orders and effecting the transfer of funds is termed clearing and settlement, and it takes upto two days in India. Following are few clearing houses in Indian stock market for providing trade settlement services to the buyer and sellers:

- ✓ Metropolitan Clearing Corporation of India Ltd.
- ✓ India International Clearing Corporation Ltd.
- ✓ National Commodity Clearing Ltd.
- ✓ Multi Commodity Exchange clearing Corporation Ltd.
- ✓ Indian clearing corporation Ltd.
- ✓ NSC IFSC Clearing Corporation Ltd.
- ✓ National Securities Clearing Corporation Ltd.

These are some clearing and settlement agencies in India that operate under registered exchanges.

Stock trading and its settlement process have undergone tremendous changes in the past few decades. **SEBI and the stock exchanges, in partnership with the clearing houses, are constantly striving to make the process even faster, aiming for a T+1 day settlement.**

Introduction of T+1 rolling settlement on an optional basis as per Circular dated 07.09.2021. According to the said Circular

- Stock Exchange may choose to offer a T+1 settlement cycle on any of the scrips, after giving advance notice of at least one month, regarding the change in the settlement cycle, to all stakeholders, including the public at large, and also disseminating the same on its website.
- After opting for a T+1 settlement cycle for a scrip, the Stock Exchange shall have to mandatorily continue with the same for a minimum period of 6 months. Thereafter, in case, the Stock Exchange intends to switch back to T+2 settlement cycle, it shall do so by giving 1-month advance notice to the market.
- There shall be no netting between T+1 and T+2 settlements